

Memorandum of Law

To: Olivia Ralston, President, Olivia's Beans, Inc.

From: Roman Segal PLLC.

Date: 09/03/2025

Re: Whether Olivia's Beans should be excused from performing its contract with Earth Foods, Inc., and recommended strategy

I. Introduction and Executive Summary

This memorandum evaluates whether Olivia's Beans, Inc. ("Olivia's Beans" or "the Company") can be excused from its contractual obligations to Earth Foods, Inc. ("Earth Foods") under the doctrine of commercial impracticability codified at New York Uniform Commercial Code ("UCC") § 2-615. The Company is currently bound by a contract dated August 12, 20XX, to supply 100,000 pounds of Pure Colombian coffee at \$7.05 per pound. After the unexpected collapse of its supplier, the Federación de Cafeteros Pequeños de Colombia ("FCPC"), Olivia's Beans cannot buy beans at that price; the lowest available alternative is \$8.25 per pound, which will cause the Company to lose approximately \$108,000 on the remaining contract.

The legal question is whether the Company can invoke the UCC's impracticability defense to excuse its performance. After reviewing the law, facts, and the attorney's analysis, the conclusion is that **the defense is unlikely to succeed**. Courts applying UCC § 2-615 have consistently held that increases in cost—even significant ones—are insufficient unless tied to extraordinary contingencies like war, embargo, or destruction of supply. Because Olivia's Beans entered into its contract with Earth Foods before finalizing its supplier agreement with FCPC, the continued operation of FCPC was not a "basic assumption" underlying the contract.

Breaching the contract would expose the company to substantial legal and reputational risks. Continuing to perform, however, will create severe financial losses. The company faces a genuine "catch-22": breach and face litigation and brand harm or perform and absorb a damaging loss. The most prudent course is neither outright breach nor blind performance, but **an initiative-taking renegotiation strategy with Earth Foods** that emphasizes the mutual benefits of continued cooperation, coupled with contingency planning if litigation arises.

II. Summary of Attorney's Reasoning

The attorney's memorandum dated October 1, 20XX, considered whether Olivia's Beans could rely on UCC § 2-615, because the provision excuses performance where it

“has been made impracticable by the occurrence of a contingency the nonoccurrence of which was a basic assumption on which the contract was made.”

A. Governing Law

Because the contract designates New York law, the New York UCC applies. Courts interpreting § 2-615 require:

1. Occurrence of an unforeseen contingency after contract formation.
2. The non-occurrence of that contingency was a basic assumption of the contract.
3. Performance is impractical, not merely more expensive.

Commentary to the UCC and New York case law emphasizes that cost increases, even if substantial, do not qualify. Only “extreme” events such as war, embargo, crop failure, or destruction of major supply sources may suffice.

B. Application for Olivia’s Beans

The attorney concluded that Olivia’s Beans is unlikely to succeed on an impracticability defense for two reasons:

1. **Increased cost impracticability.** The dissolution of FCPC forces Olivia’s Beans to buy beans at \$8.25 instead of \$6.50, which converts an expected \$49,500 profit into a \$108,000 loss. While painful, courts have ruled those increased costs—even dramatic ones—do not excuse fixed-price contracts unless tied to cataclysmic contingencies.
2. **FCPC’s existence was not a “basic assumption.”** At the time Olivia’s Beans signed with Earth Foods (August 12), it had not yet completed its supplier deal with FCPC (finalized August 14). Thus, the contract with Earth Foods did not rest on the “basic assumption” that FCPC would remain viable. Instead, Olivia’s Beans assumed the ordinary risk of sourcing beans profitably.

The attorney advised courts are unlikely to excuse Olivia’s Beans from the Earth Foods contract.

III. Business Risks of Breaching the Earth Foods Contract

If Olivia’s Beans were to breach, the risks are both **legal** and **commercial**.

A. Legal Risks

1. **Damages to Nonperformance.** Under New York UCC §§ 2-706 and 2-708, Earth Foods could recover “cover damages”—the difference between the contract price and the price

of replacement goods, plus incidental damages. If Earth Foods replaces coffee at \$8.25/lb., it could claim damages of $\$1.20/\text{lb.} \times 90,000 \text{ lbs.} = \$108,000$.

2. **Lost Profits.** Earth Foods may argue that its resale business is harmed, particularly since Pure Colombian has become its most popular roast. If proven, consequential damage could increase exposure beyond \$108,000.
3. **Attorney's Fees and Interest.** The contract explicitly allows recovery of attorney's fees and 12% interest on delinquent payments. Litigation could therefore be very costly.
4. **Litigation Risk.** Raul Proteus's letter already signals Earth Foods' intent to pursue legal action. Breach would certainly trigger a lawsuit in New York, a distant and expensive forum for Olivia's Beans.

B. Commercial and Reputational Risks

1. **Loss of a Key Customer.** Earth Foods is a national supermarket chain and an early adopter of Olivia's Beans. Losing this relationship could prevent future contracts with Earth Foods and similarly situated retailers.
2. **Reputation in the industry.** Breaching a high-profile contract may label Olivia's Beans as unreliable. This could hinder negotiations with both suppliers and buyers.
3. **Credit and Financing.** If litigation results in a judgment, Olivia's Beans' creditworthiness could be impaired, limiting growth opportunities.

Overall, breaching poses existential risks for a small, growing company.

IV. Business Risks of Not Breaching (i.e., Performing at a Loss)

While legally safer, performance carries its own dangers:

A. Direct Financial Loss

- Performing will cause approximately **\$108,000 in losses** across the remaining 90,000 pounds.
- This transforms what was projected to be a profitable growth opportunity into a major financial setback.

B. Liquidity Strain

- Absorbing losses may require debt financing or diverting funds from other operations.
- For a young company like Olivia's Beans, this could threaten solvency.

C. Opportunity Cost

- Resources devoted to fulfilling this unprofitable contract cannot be used for expansion, marketing, or securing better supplier relationships.

D. Risk of Business Instability

- Sustained financial losses might discourage investors or lenders.
- If Earth Foods later demands even larger orders, Olivia's Beans may be unable to manage them, creating recurring risk.

In short, strict performance without modification risks weakening the Company financially, even if it avoids litigation.

V. Recommendations and Best Path Forward

Neither outright breach nor blind compliance is optimal. Olivia's Beans should pursue a **middle-ground strategy** focused on negotiation, damage mitigation, and long-term risk management.

A. Renegotiate with Earth Foods

- Present Earth Foods with the facts: the supplier collapse was beyond Olivia's Beans' control, and continuing performance at \$7.05/lb. creates crippling losses.
- Propose a **shared solution**, such as.
 - Adjusting the price modestly (e.g., splitting the \$1.20/lb. cost increase).
 - Reducing order quantities.
 - Extending delivery deadlines.
- Earth Foods has an interest in maintaining its popular Pure Colombian product. Framing renegotiation as preserving mutual benefits increases leverage.

B. Explore alternative supply arrangements.

- Seek other Colombian or Latin American suppliers at blended rates. Even partial substitution might reduce costs.
- Consider whether Olivia's Beans can slightly change the blend while maintaining labeling compliance.

C. Consider Settlement of Potential Litigation

- If renegotiation fails and a breach is unavoidable, attempt a **settlement agreement** with Earth Foods before litigation begins. Paying negotiated damages may be less costly than a trial.

D. Long-Term Strategy

1. **Supply Chain Diversification.** Avoid reliance on a single cooperative or supplier.
2. **Secure inputs before contracting.** Do not commit to large sales contracts until sourcing is completed.
3. **Contract Clauses.** In future contracts, negotiate force majeure or supplier-failure provisions that allocate the risk of supplier collapse.

VI. Conclusion

The impracticability defense under UCC § 2-615 is not likely to excuse Olivia's Beans' nonperformance. The collapse of FCPC, while unfortunately, does not meet the high threshold courts impose for excusing performance. As a result, an outright breach would expose Olivia's Beans to considerable damage, litigation, and reputational harm. Conversely, full performance will cause severe financial losses.

The recommended course is to **renegotiate the contract with Earth Foods**, highlighting the mutual benefits of preserving the relationship and proposing adjustments to price or volume. Olivia's Beans should prepare contingency plans, like finding a new supplier for potential litigation, and adopt long-term strategies to prevent the recurrence of such supply-side shocks.

Managed strategically, this crisis can be an opportunity: by demonstrating good faith and transparency, Olivia's Beans may preserve its relationship with a major national retailer while laying the groundwork for more resilient operations.